the debate took a turn towards what we might call an ideal morphology. The forms of legal thought, the 'concepts' with which the lawyer 'operates,' were to be described, delimited, compared. In this work there was sometimes shewn a delicacy of touch and a subtlety of historical perception, of which in this country we, having no pressing need for comparisons, can know little, especially if our notion of an analytical jurisprudence is gathered from Austin's very 'natural' exploits. Of special interest to Englishmen should be the manner in which out of the rude material of old German law the Germanists will sometimes reconstruct an idea which in England needs no reconstruction since it is in all our heads, but which bears a wholly new value for us when we have seen it laboriously composed and tested.

II.

At an early moment in the development of Germanism a Theory of the Corporation, which gave itself out to be the orthodox Roman Theory and which Savigny had lately defined in severe outline, was assailed by Georg Beseler who lived to be a father among Germanists[1]. You will never, he said in effect, force our German fellowships, our German *Genossenschaften*, into the Roman scheme: we Germans have had and still have other thoughts than yours. Since then the Roman Corporation (*universitas*) has been in the crucible. Romanists of high repute have forsaken the Savignian path; Ihering went one way, Brinz another, and now, though it might be untrue to say that there are as many doctrines as there are doctors, there seems to be no creed that is entitled to give itself the airs of orthodoxy. It is important to remember that the materials which stand at the Romanist's disposal are meagre. The number of texts in the Digest which, even by a stretch of language, could be said to express a theory of Corporations is extremely small, and as to implied theories it is easy for different expositors to hold different opinions, especially if they feel more or less concerned to deduce a result that will be tolerable in modern Germany. The admission must be made that there is no text which directly calls the *universitas* a *persona*, and still less any that calls it *persona ficta*[2].

[1] Beseler, Volksrecht und Juristenrecht, Leipzig, 1843, pp. 158—194.

[2] It does not seem to be proved that the Roman jurists went beyond the 'personae

According to Dr Gierke, the first man who used this famous phrase was Sinibald Fieschi, who in 1243 became Pope Innocent IV.[1] More than one generation of investigators had passed away, indeed the whole school of glossators was passing away, before the Roman texts would yield a theory to men who lived in a Germanic environment, and, when a theory was found, it was found by the canonists, who had before their eyes as the typical corporation, no mediæval city, village or gild, but a collegiate or cathedral church. In Dr Gierke's view Innocent, the father of 'the Fiction Theory,' appears as a truly great lawyer. He really understood the texts; the head of an absolute monarchy, such as the catholic Church was tending to become, was the very man to understand them; he found the phrase, the thought, for which others had sought in vain. The corporation is a person; but it is a person by fiction and only by fiction. Thenceforward this was the doctrine professed alike by legists and canonists, but, so our author contends, it never completely subdued some inconsistent thoughts of Germanic origin which found utterance in practical conclusions. In particular, to mention one rule which is a good touchstone for theories, Innocent, being in earnest about the mere fictitiousness of the corporation's personality and having good warrant in the Digest[2], proclaimed that the corporation could commit neither sin nor delict. As pope he might settle the question of sin, and at all events could prohibit the excommunication of an *universitas*[3], but as lawyer he could not convince his fellow lawyers that corporations must never be charged with crime or tort.

Then Savigny is set before us as recalling courts and lawyers from unprincipled aberrations to the straight but narrow Roman road. Let us bring to mind a few of the main traits of his renowned doctrine.

vice fungitur' of Dig. 46, 1, 22. Any modern text-book of Pandektenrecht will introduce its reader to the controversy, and give numerous references. Here it may be enough to name Ihering, Brinz, Windscheid, Pernice, Dernburg and Regelsberger as prominent expositors of various versions of the Roman theory. Among recent discussions may be mentioned, Kniep, Societas Publicanorum, 1896; Kuhlenbeck, Von den Pandekten zum bürgerlichen Gesetzbuch (1898), I. 169 ff.

[1] Gierke, Genossenschaftsrecht, III. 279.

[2] Dig. 4, 3, 15 § 1.

[3] Gierke, Genossenschaftsrecht, III. 280.

Besides men or 'natural persons,' the law knows as 'subjects[1]' of proprietary rights certain fictitious, artificial or juristic persons, and as one species of this class it knows the corporation. We must carefully sunder this ideal person from those natural persons who are called its members. It is capable of proprietary rights; but it is incapable of knowing, intending, willing, acting. The relation between it and the corporators may best be compared to that between *pupillus* and *tutor*, or that between a lunatic and the committee of his estate. By the action of its guardians it can acquire property, and, if it is to take the advantage of contracts, it must take the burden also. To allow it possession is difficult, for possession is matter of fact; still after hesitation the Roman lawyers made this concession. An action based upon unjust enrichment may lie against it; but it must not be charged with delict. To attempt to punish it is both absurd and unjust, though the State may dissolve a noxious group in an administrative way. Being but a fiction of the law, its personality must have its commencement in some authoritative act, some declaration of the State's will. Finally, it may continue to exist though it no longer has even one member.

For the last three centuries and more Englishmen have been repeating some of the canonical phrases, but Dr Gierke would probably say that we have never taken them much to heart. We are likely therefore to overlook some points in the Savignian theory which seem serious to those who have not raised convenient inconsequence to the level of an intellectual virtue. In particular, having made 'the corporation itself' a mindless being that can do no act, we must not think of the organized group of corporators as an 'agent' appointed by a somewhat inert 'principal.' Were the corporation 'itself' capable of appointing an agent, there would be no apparent reason why 'itself' should not do many other acts. Savigny is far more skilful. It is not in agency but in guardianship of the Roman kind that he finds the

[1] Germans distinguish between the Subject and the Object of a right. If Styles owns a horse, Styles is the Subject and the horse the Object of the right. Then if we ascribe the ownership of the horse to the Crown, we make the Crown a Subject; and then we can speak of the Crown's Subjectivity. And so in political theory, if we ascribe Sovereignty to the Crown or the Parliament or the People, we make the Crown, Parliament or People the Subject of Sovereignty. The reader of the following pages may be asked to remember this not inconvenient usage.

correct analogy. Those who wish to make fun of the theory say that it fills the legal world with hopeless idiots and their State-appointed curators; but, if we mean logic, we must be careful to see that our 'corporation itself'—that *Ding an sich* which somehow or another lies beyond the phenomenal group of corporators[1]—does no act, speaks no word, thinks no thought, appoints no agent. Also we may observe, and in history this is important, that this theory might play into the hands of a Prince or princeling inclined to paternal despotism. Really and truly the property of a corporation—for example a city or university—belongs to no real person or persons, and over the doings of guardians and curators the State should exercise, no mere jurisdiction, but administrative control. Of 'natural rights' there can here be no talk, for 'artificial persons' can have no natural rights. Furthermore, the strict confinement of the *persona ficta* within the sphere of Private Law may escape notice in a country where (to use foreign terms) 'publicistic' matter has been wont to assume 'private-rightly' form in a fashion that some would call shamefully medieval but others enviably Germanic. The Savignian corporation is no 'subject' for 'liberties and franchises' or 'rights of self-government.' Really and 'publicistically' it can hardly be other than a wheel in the State's machinery, though for the purposes of Property Law a personification of this wheel is found to be convenient. Lastly, some popular thoughts about 'body' and 'members' must needs go overboard. The guardian is no 'member' of his ward; and how even by way of fiction could a figment be composed of real men? We had better leave body and members to the vulgar.

Savigny wrote on the eve of a great upheaval. A movement in which England played a prominent and honourable part was thrusting the joint-stock company to the very forefront of those facts whence a theory of corporations must draw its sustenance. Whatever may be said of municipal and other communes, of universities and colleges and churches, the modern joint-stock company plainly resents any endeavour to 'construe' it as a piece of the State's mechanism, though we may profitably remember that

[1] Pollock, Contract, ed. 6, p. 108: 'If it is allowable to illustrate one fiction by another, we may say that the artificial person is a fictitious substance conceived as supporting legal attributes.' But this happy phrase is not by itself an adequate expression of Sir F. Pollock's view. See the context.

early and exemplary specimens, notably the Bank of England and the East India Company, were closely related to the State. Moreover, the modern joint-stock company, if it is an *universitas*, is exceedingly like a *societas*, a partnership, a *Gesellschaft*, and this resemblance seemed to threaten one of the securest results of legal science. There were a few phrases in the Digest capable of perplexing the first glossators, but in clear words Innocent IV. had apprehended the distinction: the *universitas* is a person; the *societas* is only another name, a collective name, for the *socii*[1]. Since then jurisprudence had kept or endeavoured to keep the two in very different boxes, in spite of the efforts of Natural Law to break down the partition. In a system of *Pandektenrecht* the *universitas* appeared on an early page under the rubric 'Law of Persons,' while the *societas* was far away, probably in another volume, for a Partnership is a kind of Contract and Contract is a kind of Obligation. Here, however, was a being whose very name of *Aktiengesellschaft* strongly suggested partnership, and yet the German legislators who had designed its mould had almost certainly meant that it should exhibit personality or legal 'subjectivity,' though they had not said this in so many words. Was it *universitas*, or *societas*, or neither, or both? Could a mean term be found between unity and plurality? What was, what could be, the 'juristic nature' of a shareholder's 'share,' as we call it in England? Was it any conceivable form of co-ownership, any 'real' right in the company's lands and goods? Could it, on the other hand, be reduced to the mere benefit of a contract between the shareholder and the artificial person? Ideal walls were rocking and material interests were at stake. Was it, for example, decent of the Prussian government to tax first the income of the company and then the dividends of the shareholders and yet disclaim all thought of double taxation[2]?

Pausing here for a moment, we may notice that an Englishman

[1] Gierke, Genossenschaftsrecht, III. 285.

[2] Dernburg, Pandekten, ed. 5, I. 146. The German lawyer has had a good many different types of association to consider, such as the *Gesellschaft des bürgerlichen Rechtes*, the *offene Handelsgesellschaft*, the *Kommanditgesellschaft*, the *Kommanditgesellschaft auf Aktien*, and the *Aktiengesellschaft*; and, so I understand, the legislature had not explicitly told him which, if any, of these types were to display personality. So a large room was left for rival 'constructions.'

will miss a point in the history of political theory unless he knows that in a strictly legal context the Roman *societas*, the French *société*, and the German *Gesellschaft* should be rendered by the English *partnership* and by no other word. Also he should know that, just as the English lawyer maintains that our English 'firm' is a mere collective name for the partners and displays no 'artificial personality,' so also he will be taught in Germany that the Roman *societas* and the German *Gesellschaft* are not 'juristic persons.' Now-a-days it will perhaps be added that the German *Gesellschaft* —and the same would be said of the English partnership—shews a tendency to develop towards corporate organization, from which tendency the extremely 'individualistic' *societas* of the Romans was wholly free[1]. That is a small matter; but it is a great matter that before the end of the Middle Ages the Roman word for partnership was assuming a vastly wide meaning and, under the patronage of Ciceronian comparisons[2], was entering the field of politics. 'Human Society' should be the partnership of mankind; 'Civil Society' should be the partnership of citizens; 'the Origin of Civil Society' should be a Social Contract or contract of partnership. If Rousseau writes of *le Contrat Social* and Pothier of *le Contrat de Société*, there should be, and there is, a link between their dissimilar books, and a German can say that both discussed the *Gesellschaftsvertrag*, the one with passion, the other with erudition. Here then we face one of the historical problems that Dr Gierke raises. How came it about that political theory, which went to the lawyers for most of its ideas, borrowed the contract of partnership rather than the apparently far more appropriate act of incorporation? In brief the answer is that the current doctrine of corporations, the classical and Innocentian doctrine, stood beneath the level of philosophic thought. A merely fictitious personality, created by the State and shut up within the limits of Private Law, was not what the philosopher wanted when he went about to construct the State itself.

And then political philosophy reacted upon legal theory. When the State itself had become a merely collective unit—a sum of presently existing individuals bound together by the operation of their own wills—it was not likely that any other group would seem capable of withstanding similar analysis. Where philosophy and

[1] Dernburg, loc. cit.

[2] See below, p. 187.

jurisprudence met in such systems of Natural Law as were fashionable in the eighteenth century, the *universitas* was lowered to the rank of the *societas*, or (but this was the same process) the *societas* was raised to the rank of the *universitas*[1]. Both alike exhibited a certain unity in plurality; both alike might be called 'moral persons'; but in the one case as in the other this personality was to be thought of as a mere labour-saving device, like stenography or the mathematician's symbols. What we may call the Bracket Theory or Expansible Symbol Theory of the Corporation really stands in sharp contrast with the Fiction Theory as Savigny conceived it, though sometimes English writers seem to be speaking of the one and thinking of the other. The existing corporators, who in the one scheme are mere guardians for a somewhat that the State has instituted, become in the other scheme the real 'subjects' of those rights and duties that are ascribed to the corporation, though legal art usually keeps these 'subjects' enclosed within a bracket. However, despite this tendency of a 'natural' jurisprudence—a tendency which seems to have left an abiding mark in the legal terminology of Scotland—the Romanists of Germany had been holding fast the doctrine that the *universitas* is, while the *societas* is not, a person, when the joint-stock company, a new power in the theoretic as in the economic world, began to give trouble. That the *Aktiengesellschaft* was a corporation was generally admitted; but of all corporations a joint-stock company is that which seems to offer itself most kindly to the individualistic analyst. When all is said and done, and all due praise has been awarded to the inventors of a beautiful logarithm, are not these shareholders, these men of flesh and blood, the real and only sustainers of the company's rights and duties? So great a Romanist as Ihering[2] trod this 'individualistic' or 'collectivistic' path, and in America where law schools flourish, where supreme courts are many and the need for theory is more urgent than it is in England, highly interesting attempts have been made to dispel the Fiction, or rather to open the Bracket and find therein nothing but contract-bound men[3]. Contract, that greediest of legal categories,

[1] Gierke, Johannes Althusius, 103.

[2] See especially Geist des röm. Rechts, vol. III., p. 343.

[3] Dissatisfaction with the Fiction—or, as Americans sometimes say, with 'the Entity'—is expressed in some well-known text-books, e.g., Taylor, Law of Private Corporations, § 60; Morawetz, Law of Private Corporations, ch. I.

which once wanted to devour the State, resents being told that it cannot painlessly digest even a joint-stock company. Maine's famous sentence about Contract and Status might indeed be boldly questioned by anyone who remembered that, at least for the philologian, the Roman Status became that modern State, *État, Staat* which refused to be explained by Contract into a mere 'Civil Society.' Few words have had histories more adventurous than that of the word which is the *State* of public and the *estate* of our private law, and which admirably illustrates the interdependence that exists between all parts of a healthily growing body of jurisprudence. Still, though the analytic powers of Contract are by no means what they once seemed to be, many will think them equal to the task of expanding what they might call the Corporation Symbol.

It was in a Germany that was full of new ideas and new hopes that a theory was launched which styled itself 'the German *Genossenschaftstheorie*.' Even the hastiest sketch of its environment, if it notices the appearance of the joint-stock company, should give one word to the persistence in Germany of agrarian communities with world-old histories, to the intricate problems that their dissolution presented, and to the current complaint that Roman law had no equitable solution for these questions and had done scant justice to the peasant. Nor should the triumphs of biological science be forgotten. A name was wanted which would unite many groups of men, simple and complex, modern and archaic; and *Genossenschaft* was chosen. The English translator must carefully avoid Partnership; perhaps in our modern usage Company has become too specific and technical; Society also is dangerous; Fellowship with its slight flavour of an old England may be our least inadequate word. Beginning with Beseler's criticism of Savigny, the theory gradually took shape, especially in Dr Gierke's hands, and a great deal of thought, learning and controversy collected round it. Battles had to be fought in many fields. The new theory was to be philosophically true, scientifically sound, morally righteous, legally implicit in codes and decisions, practically convenient, historically destined, genuinely German, and perhaps exclusively Germanistic[1]. No, it seems to say, whatever

[1] However, some Romanists of repute have asserted their right to adopt and have adopted this theory. See in particular Regelsberger, Pandekten, vol. I. p. 289 ff. See also Dernburg, Pandekten, § 59.

the Roman *universitas* may have been—and Dr Gierke is for pinning the Roman jurists to Savignianism—our German Fellowship is no fiction, no symbol, no piece of the State's machinery, no collective name for individuals, but a living organism and a real person, with body and members and a will of its own. Itself can will, itself can act; it wills and acts by the men who are its organs as a man wills and acts by brain, mouth and hand. It is not a fictitious person; it is a *Gesammtperson*, and its will is a *Gesammtwille*; it is a group-person, and its will is a group-will[1].

This theory, which we might call Realism, may seem to carry its head among the clouds, though no higher perhaps than the Fiction Theory; but a serious effort has been made to give it feet that walk upon the earth. In one long book[2] Dr Gierke has in great detail argued his case throughout the whole domain of practicable modern law, contending, not indeed that all German 'authority' (as an English lawyer would say) is on his side, but that he has the support of a highly respectable body of authority, express and implied, and that legislatures and tribunals fall into self-contradiction or plain injustice when they allow themselves to be governed by other theories. Nothing could be more concrete than the argument, and, though it will sometimes shew an affection for 'the German middle age' and a distrust of ancient Rome, it claims distinctively modern virtues: for instance, that of giving of the shareholder's 'share' the only lawyerly explanation that will stand severe strain. Then in another book our author has been telling the history of German Fellowship Law[3].

Let us try to imagine—we are not likely to see—a book with some such title as English Fellowship Law, which in the first place

[1] The works of Dr Gierke which deal with this matter are (1) Das deutsche Genossenschaftsrecht, whereof three volumes were published in 1868, 1873, and 1881; (2) Die Genossenschaftstheorie und die deutsche Rechtsprechung, 1887; (3) The first volume of Deutsches Privatrecht, 1895, which contains a more succinct and more recent statement; (4) The monograph on Johannes Althusius, 1880, which should be well known to all students of political theory. Those who would rather begin their study of the realistic theory in French than in German may be sent to A. Mestre, Les Personnes Morales, 1899. French lawyers have been conservative, and Savignianism was in harmony with the spirit of the Codes; nevertheless the doctrine of the real group-will is finding disciples. The only English statement that I have seen of this theory is by Ernst Freund, The Legal Nature of Corporations, University Press, Chicago, 1897.

[2] This is the Genossenschaftstheorie of 1887.

[3] This is the Genossenschaftsrecht of 1868—73—81.

described the structure of the groups in which men of English race have stood from the days when the revengeful kindred was pursuing the blood feud to the days when the one-man-company is issuing debentures, when parliamentary assemblies stand three deep above Canadian and Australian soil and 'Trusts and Corporations' is the name of a question that vexes the great Republic of the West. Within these bounds lie churches, and even the medieval church, one and catholic, religious houses, mendicant orders, non-conforming bodies, a presbyterian system, universities old and new, the village community which Germanists revealed to us, the manor in its growth and decay, the township, the New England town, the counties and hundreds, the chartered boroughs, the gild in all its manifold varieties, the inns of court, the merchant adventurers, the militant 'companies' of English condottieri who returning home help to make the word 'company' popular among us, the trading companies, the companies that become colonies, the companies that make war, the friendly societies, the trade unions, the clubs, the group that meets at Lloyd's Coffee-house, the group that becomes the Stock Exchange, and so on even to the one-man-company, the Standard Oil Trust and the South Australian statutes for communistic villages. The English historian would have a wealth of group-life to survey richer even than that which has come under Dr Gierke's eye, though he would not have to tell of the peculiarly interesting civic group which hardly knows whether it is a municipal corporation or a sovereign republic. And then we imagine our historian turning to inquire how Englishmen have conceived their groups: by what thoughts they have striven to distinguish and to reconcile the manyness of the members and the oneness of the body. The borough of the later middle ages he might well regard with Dr Gierke as a central node in the long story. Into it and out from it run most of the great threads of development, economic and theoretical. The borough stretches one hand back to the village community and the other forward to freely formed companies of all sorts and kinds. And this Dr Gierke sets before us as the point at which the unity of the group is first abstracted by thought and law from the plurality, so that 'the borough' can stand out in contrast to the sum of existing burgesses as another person, but still as a person in whom they are organized and embodied.

To his medieval Germans Dr Gierke attributes sound and wholesome thoughts, and in particular a deep sense of the organic character of all permanent groups great and small. Not that, according to him, their thoughts were sharply defined: indeed he has incurred the dissent of some of his fellow Germanists by refusing to carry back to the remotest time the distinction between co-ownership and corporate ownership. In deeply interesting chapters he has described the differentiating process which gives us these two ideas. That process was prospering in the German towns when the catastrophe occurred. When German law was called upon to meet the alien intruder, it had reached 'the stage of abstraction,' but not 'the stage of reflection.' It had its *Körperschaftsbegriff*, but no *Korporationstheorie*. It could co-ordinate Man and Community as equally real persons of different kinds; but it had never turned round to ask itself what it was doing. And so down it went before the disciplined enemy: before the theory which Italian legists and decretists had been drilling.

Then in another volume we have the history of this theory. We should misrepresent our author if, without qualification, we spoke of Italian science as the enemy. All technical merits were on its side; it was a model for consequent thinking. Still, if it did good, it did harm. Its sacred texts were the law of an unassociative people. Roman jurisprudence, starting with a strict severance of *ius publicum* from *ius privatum*, had found its highest development in 'an absolutistic public law and an individualistic private law.' Titius and the State, these the Roman lawyers understood, and out of them and a little fiction the legal universe could be constructed. The theory of corporations which derives from this source may run (and this is perhaps its straightest course) into princely absolutism, or it may take a turn towards mere collectivism (which in this context is another name for individualism); but for the thought of the living group it can find no place; it is condemned to be 'atomistic' and 'mechanical.' For the modern German 'Fellowship Theory' remained the task of recovering and revivifying 'the organic idea' and giving to it a scientific form.

It is not easy for an Englishman to throw his heart or even his mind into such matters as these, and therefore it may not be easy for some readers of this book at once to catch the point of

all Dr Gierke's remarks about the personality of States and Corporations. If we asked why this is so, the answer would be a long story which has never yet been duly told. However, its main theme can be indicated by one short phrase which is at this moment a focus of American politics: namely, 'Corporations and Trusts.' That puts the tale into three words. For the last four centuries Englishmen have been able to say, 'Allow us our Trusts, and the law and theory of corporations may indeed be important, but it will not prevent us from forming and maintaining permanent groups of the most various kinds: groups that, behind a screen of trustees, will live happily enough, even from century to century, glorying in their unincorporatedness. If Pope Innocent and Roman forces guard the front stairs, we shall walk up the back.' From the age when, among countless other unchartered fellowships, the Inns of Court were taking shape, to the age, when monopolizing trusts set America ablaze, our law of corporations has only been a part of our *Genossenschaftsrecht*, and not perhaps the most important part[1]. We will mention but one example. If we speak the speech of daily life, we shall say that in this country for some time past a large amount of wealth has 'belonged' to religious 'bodies' other than the established church, and we should have thought our religious liberty shamefully imperfect had our law prevented this arrangement. But until very lately our 'corporation concept' has not stood at the disposal of Nonconformity, and even now little use is made of it in this quarter: for our 'trust concept' has been so serviceable. Behind the screen of trustees and concealed from the direct scrutiny of legal theories, all manner of groups can flourish: Lincoln's Inn or Lloyd's[2] or the Stock Exchange or the Jockey Club, a whole presbyterian system, or even the Church of Rome with the Pope at its head. But, if we are to visit a land where Roman law has

[1] See the Stat. of (1531—2) 23 Hen. VIII., c. 10: lands are already being held to the use of unincorporated 'guilds, fraternities, comminalities, companies or brotherheads,' and this on so large a scale that King Henry, as supreme landlord, must interfere. Happily the lawyers of a later time antedated by a few years King Henry's dislike of 'superstition,' and therefore could give to this repressive statute a scope far narrower than that which its royal author assuredly intended. The important case is *Porter's Case*, 1 Coke's Reports, 22 b.

[2] At length incorporated in 1871: see F. Martin, History of Lloyd's, pp. 356—7, a highly interesting book.

been 'received,' we must leave this great loose 'trust concept' at the Custom House, and must not for a moment suppose that a meagre *fideicommissum* will serve in its stead. Then we shall understand how vitally important to a nation—socially, politically, religiously important—its Theory of Corporations might be.

If it be our task legally to construct and maintain comfortable homes wherein organic groups can live and enjoy whatever 'liberty of association' the Prince will concede to them, a little, but only a little, can be done by means of the Romanist's co-ownership (*condominium*, *Miteigentum*) and the Romanist's partnership (*societas*, *Gesellschaft*). They are, so we are taught, intensely individualistic categories: even more individualistic than are the parallel categories of English law, for there is no 'jointness' (*Gesammthandtschaft*) in them. If then our Prince keeps the *universitas*, the corporate form, safe under lock and key, our task is that of building without mortar. But to keep the *universitas* safe under lock and key was just what the received theory enabled the Prince to do. His right to suppress *collegia illicita* was supplemented by the metaphysical doctrine that, from the very nature of the case, 'artificial personality' must needs be the creature of sovereign power. At this point a decisive word was said by Innocent IV. One outspoken legist reckoned as the fifty-ninth of the sixty-seven prerogatives of the Emperor that he, and only he, makes fictions: 'Solus princeps fingit quod in rei veritate non est[1].' Thus 'the Fiction Theory' leads us into what is known to our neighbours as 'the Concession Theory.' The corporation is, and must be, the creature of the State. Into its nostrils the State must breathe the breath of a fictitious life, for otherwise it would be no animated body but individualistic dust.

Long ago English lawyers received the Concession Theory from the canonists. Bred in the free fellowship of unchartered Inns, they were the very men to swallow it whole. Blackstone could even boast that the law of England went beyond 'the civil law' in its strict adhesion to this theory[2]; and he was right, for the civilians of his day generally admitted that, though in principle the State's consent to the erection of a corporation was absolutely necessary, still there were Roman texts which might be deemed

[1] Lucas de Penna, cited by Gierke, Genossenschaftsrecht, III. 371.

[2] Comment. I. 472.

to have given that consent in advance and in general terms for the benefit of corporations of certain innocuous kinds. But then, what for the civilians was a question of life and death was often in England a question of mere convenience and expense, so wide was that blessed back stair. The trust deed might be long; the lawyer's bill might be longer; new trustees would be wanted from time to time; and now and again an awkward obstacle would require ingenious evasion; but the organized group could live and prosper, and be all the more autonomous because it fell under no solemn legal rubric. Lawyers could even say that the common law reckoned it a crime for men 'to presume to act as a corporation'; but as those lawyers were members of the Inns of Court, we should hardly need other proof—there is plenty to be had—that the commission of this crime (if crime it were) was both very difficult and wholly needless[1]. Finally it became apparent that, unless statute law stood in the way, even a large company trading with a joint-stock, with vendible shares and a handsome measure of 'limited liability' could be constructed by means of a trust deed without any incorporation[2].

Nowhere has the Concession Theory been proclaimed more loudly, more frequently, more absolutely, than in America; nowhere has more lip-service been done to the Fieschi. Ignorant men on board the 'Mayflower' may have thought that, in the presence of God and of one another, they could covenant and combine themselves together into 'a civil body politic[3].' Their descendants know better. A classical definition has taught that 'a Corporation is a Franchise,' and a franchise is a portion of the State's power in the hands of a subject[4]. A Sovereign People

[1] Lindley, Company Law, Bk. I., ch. 5, sect. 1. In the curious case of *Lloyd* v. *Loaring*, 6 Ves. 773, Lord Eldon had before him a lodge of Freemasons which had made an imprudent display of what a Realist would call its corporate character. His lordship's indignation was checked by the thought that 'Mr Worseley's silver cup' belonged to 'the Middle Temple.'

[2] The directors are bound to give notice to every one who gives credit that he has nothing to look to beyond the subscribed fund, and that no person will be personally liable to him. As to these 'attempts to limit liability,' see Lindley, Company Law, Bk. II., ch. 6, sec. 2.

[3] The Mayflower Compact can be found, among other places, in Macdonald, Select Charters, p. 33.

[4] Kent, Comment. Lect. 33: 'A corporation is a franchise possessed by one or more individuals, who subsist as a body politic under a special denomination, and are vested,